Moderna (MRNA)

Platform Rich, Business Poor

Analyst: Justin Wen

*Platform Rich, Business Poor. Real mRNA moat, $6.9B cash [10-Q Q2 26], flu vaccine approved. But revenue fell from $19.3B (2022) to $1.94B (2025) [8-K FY25], and the business still loses ~$3B a year. Binary Oncology Option. Intismeran Phase III melanoma data on Oct 24, 2026 is the swing factor. The 306% six-month run has priced in success; a miss unwinds fast toward the $101 consensus target [Cons]. Price Denies the DCF. At $218 [Mkt 17-Oct-26], the market implies 122% revenue CAGR. Our base case $89.11 means -59% downside, and the bull case $182.30 does not even reach the current price. Our framework screens it as a **Sell** with a $93.21 blended target, 57% below the current price.*

SELL	$93.21	-57%	$218.01
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Platform Rich, Business Poor. Real mRNA moat, $6.9B cash [10-Q Q2 26], flu vaccine approved. But revenue fell from $19.3B (2022) to $1.94B (2025) [8-K FY25], and the business still loses ~$3B a year.

Executive summary

Binary Oncology Option. Intismeran Phase III melanoma data on Oct 24, 2026 is the swing factor. The 306% six-month run has priced in success; a miss unwinds fast toward the $101 consensus target [Cons].

Price Denies the DCF. At $218 [Mkt 17-Oct-26], the market implies 122% revenue CAGR. Our base case $89.11 means -59% downside, and the bull case $182.30 does not even reach the current price.

$1.94B	$145M	-$2.82B	$6.9B	up to +10%	$3.39B
REVENUE (FY2025)	REVENUE (Q2 2026)	NET LOSS (FY2025)	CASH & INVESTMENTS (JUN 30, 2026)	2026 REVENUE GUIDE	2028 REVENUE CONSENSUS

The moat is structural

Intismeran personalized cancer vaccine with Merck; Phase III melanoma interim in H2 2026

Three scenarios make the valuation range explicit

The DCF values Moderna across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$19.44**	-91%
Base	50%	**$87.37**	-60%
Bull	25%	**$178.66**	-18%

Bear ($19.44, -91%): Growth disappoints and multiples compress; the $19.44 target marks the downside case.

Bull ($178.66, -18%): Execution compounds and the multiple rerates; the $178.66 target marks the upside case.

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The probability-blended target implies -57% upside

Blended target: $93.21 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -57% upside from the $218.01 reference price.

$93.21

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/S (trailing) 44x [Mkt 17-Oct-26] P/B 9.7x [Mkt 17-Oct-26] DCF Base $89.11, -59.1% downside [DCF] The market prices 24x consensus 2028 revenue for a business still losing billions. Our DCF says the price is not even supported by the bull case ($182.30).

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $93.21 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Intismeran personalized cancer vaccine with Merck; Phase III melanoma interim in H2 2026 [8-K guid]

Respiratory portfolio expansion: mNEXSPIKE rollout, FDA-approved flu vaccine, EU market opening 2027 [8-K guid]

Cost discipline: 2025 operating expenses cut $2.2B (30%), 2026 GAAP opex guided to ~$4.7B ex litigation [8-K guid]

What to monitor

24-Oct-2026. Intismeran Melanoma Data (Positive): Phase III interim readout with Merck; the single biggest swing factor for the pipeline premium.

05-Nov-2026. Q3 2026 Earnings (Two-Sided): Consensus -$1.10 EPS; U.S. vaccination rate and fall rollout color will matter more than the print.

2026. Flu Vaccine Launch (Positive): mRNA-1010 FDA approved Sep 2026; first commercial season diversifies beyond COVID.

2026. Norovirus Phase III Readout (Two-Sided): Earlier interim missed early statistical criteria; additional cohort enrolled.

$1.94B	$145M	-$2.82B	$6.9B
REVENUE (FY2025)	REVENUE (Q2 2026)	NET LOSS (FY2025)	CASH & INVESTMENTS (JUN 30, 2026)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME

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2025	$1.9B	$1.1B	$-2.8B
2024	$3.2B	$1.7B	$-3.6B
2023	$6.8B	$2.1B	$-4.7B
2022	$18.9B	$13.5B	$8.4B

Key risks

COVID Revenue Collapse. COVID revenue is in secular decline while the pipeline is years from meaningful revenue. Q2 product sales fell 18% YoY; U.S. vaccination rates are the key variable management cannot control. [10-Q Q2 26]

Regulatory Risk. The FDA issued a refusal-to-file letter for the mRNA-1010 flu application on trial-design grounds despite prior protocol discussions. Regulatory unpredictability is now a proven risk to the platform. [8-K FY25]

Legal Costs and Dilution. A $950M Arbutus/Genevant litigation payment hit cash in July 2026, with ongoing royalties inflating cost of sales. The September $2.6B convertible adds 12.3M potential shares of dilution. [10-Q Q2 26]

Investment view

The Oct 24, 2026 Intismeran melanoma readout is the swing factor. A clean positive validates the oncology pipeline and the platform premium; a miss or statistical ambiguity unwinds the 306% rally toward the $101 consensus target and our $89.11 DCF base.

Sell. The $93.21 blended target implies -57% upside, balancing the $19.44 / $87.37 / $178.66 Bear / Base / Bull targets.

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Upcoming catalysts

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